

A big decision, announced at the time of the company's second quarter results, was a foray into data centres. The plan is to develop an up to one-GW AI facility over the next five-seven years at an investment of \$5-7 billion. It will be a co-location model, with TCS providing the passive infrastructure. The opportunity, said the management, comes from an unmet demand—India has around 1.2 GW of installed capacity; demand is expected to rise 10x in the next few years.

This is the time for reinvention. “Arguably, this is the biggest pivot since the offshore wave of the 1990s,” says Pari Natarajan, CEO, Zinnov, a global management and strategy consultancy firm. This is not a small shift by any yardstick. How they sell, says Natarajan, will move from largely time-and-material contracts to outcome-based models. “How they deliver would also change, with a hybrid of people and repeatable software assets, varying by service line. How they hire and train will change as repeatable tasks increasingly get automated by bots and AI agents. Hiring and training will shift towards domain expertise and contextual knowledge rather than pure coding skills.” The reinvention will demand a fundamental reset across commercial models, delivery mechanisms and talent strategies to sustain long-term momentum. Apart from a

threat to the traditional IT business model, AI has also led to significant job losses as routine coding and support roles are being replaced by automation.

CRISIS COMES HOME

Last year has been forgettable for the global technology industry. In late July, TCS laid off 12,000 employees, 2% of its workforce, sending shockwaves. According to reports, Microsoft has laid off 9,000 employees, while Intel plans to eliminate 25,000 jobs by the end of the year. Around 4,000 people at Salesforce's customer support division have lost their jobs. Accenture has laid off 11,000 employees over the last three months. Julie Sweet, Accenture's CEO, says reskilling for AI roles remains the preferred option, and not all employees will make the cut.

The mood at Nasscom's annual technology and leadership forum said it all. C. Vijayakumar, CEO of HCL Technologies, called the traditional three-decade-old business model of India's IT industry “obsolete due to the rise of AI.” His view is centred around the need for Indian technology companies to create their own language models, as dependence on open-source models could backfire due to geopolitical issues. Infosys CEO Salil Parekh said it was important to

